

Example Mutual Insurance Co. (FICTIONAL)

# Homeowners HO-3 Rating Manual

Edition 2026-10

**FICTIONAL.** Example Mutual Insurance Co. does not exist. All names, rates and rules in this manual were invented for a software demonstration. It is not the filed manual of any insurer and must not be used to rate real policies.

**Contents**

**Section 1 — General . . . . . 2**

**Section 2 — Rating algorithm . . . . . 3**

    R-100 Rating algorithm . . . . . 3

    R-110 Rounding . . . . . 3

**Section 3 — Rating factors (R-100, step 2) . . . . . 4**

**Section 4 — Deductibles and credits . . . . . 5**

    R-205 Deductible factors . . . . . 5

    R-310 Premium credits . . . . . 5

    R-320 Claims-free credit . . . . . 5

**Section 5 — Hurricane, term and minimum premium . . . . . 6**

    R-410 Hurricane . . . . . 6

    R-420 Term and minimum premium . . . . . 6

**Section 6 — Fees, tax and referral . . . . . 7**

    R-510 Fees and tax . . . . . 7

    R-520 Referral . . . . . 7

**Section 7 — Territories and base rates . . . . . 8**

    R-900 Territories . . . . . 8

## Section 1 — General

**1.1 Purpose.** This manual sets out the rules, rates and factors used to price a homeowners HO-3 policy written by Example Mutual Insurance Co. (FICTIONAL). Rules are cited by number, for example R-205. Rating worksheets and rating systems implement this manual.

**1.2 Scope.** The manual covers the dwelling premium for all other perils (AOP) and for hurricane, credits, term adjustment, the minimum premium, the policy fee, the assessment and premium tax, and referral to underwriting.

### 1.3 Rating information required for each policy

| Rating information    | Worksheet field  | Notes                                             |
|-----------------------|------------------|---------------------------------------------------|
| Policy number         | policy_id        | Identifier only; not used in rating               |
| Territory             | zone             | Territory code; see R-900                         |
| Construction class    | construction     | Frame, Masonry, MasonryVeneer or FireResistive    |
| Protection class      | protection_class | Public protection class 1 to 10                   |
| Year built            | year_built       | Calendar year the dwelling was built              |
| Roof age              | roof_age         | Age of the roof covering in whole years           |
| Coverage A            | coverage_a       | Dwelling limit in dollars                         |
| AOP deductible        | deductible       | All-other-perils deductible in dollars; see R-205 |
| Hurricane deductible  | hurr_ded_pct     | Percentage of Coverage A; see R-410               |
| Central alarm         | alarm            | Alarm indicator; see R-310                        |
| Wind mitigation       | wind_mit         | None, Basic or Fortified; see R-310 and R-410     |
| Claims, prior 3 years | claims_3yr       | Number of claims; see R-320 and Table 100-F       |
| Effective date        | effective_date   | First day of coverage                             |
| Term                  | term_months      | 6 or 12 months; see R-420                         |

### 1.4 Definitions.

**Home age** is the number of whole years from 1 January of the year built to the policy effective date. If the year built is later than the effective date, the home age is 0.

**Roof age** is the reported age of the roof covering in whole years. If no roof age is reported, the roof is rated as 0 years old.

**AOP** means all perils other than hurricane. **Coverage A** is the dwelling limit in dollars. **Written premium** is the premium after the minimum premium and the round-up in R-110.

## Section 2 — Rating algorithm

### R-100 Rating algorithm

Calculate the premium in the following order. Amounts marked (¢) are rounded to the nearest cent under R-110.

1. **Base premium** (¢) = AOP base rate for the territory (R-900) × Coverage A / 1,000.
2. **AOP premium** (¢) = base premium × construction factor (Table 100-A) × protection class factor (Table 100-B) × home age factor (Table 100-C) × roof age factor (Table 100-D) × amount of insurance factor (Table 100-E) × deductible factor (R-205) × claims factor (Table 100-F).
3. **Credits**: net AOP premium (¢) = AOP premium × (1 - total credits), with the total credits from R-310 and R-320.
4. **Hurricane**: hurricane premium (¢) under R-410, then limited to 0.6% of Coverage A.
5. **Subtotal** = net AOP premium + hurricane premium after the limit.
6. **Term**: term premium (¢) = subtotal × term factor (R-420).
7. **Minimum**: the greater of the term premium and the minimum premium of \$350 (R-420).
8. **Round up**: written premium = the result of step 7 rounded up to the next whole dollar (R-110).
9. **Fee**: policy fee by term (R-510).
10. **Assessment** (¢) = 1.3% × written premium (R-510).
11. **Tax**: premium tax (¢) = territory tax rate (R-900) × (written premium + policy fee) (R-510).
12. **Total due** = written premium + policy fee + assessment + premium tax.

### R-110 Rounding

Round to the nearest cent, halves away from zero, after each step in R-100. Round the final written premium **up** to the next whole dollar.

The steps rounded to the cent are those marked (¢) in R-100. The hurricane limit, the subtotal, the minimum premium comparison and the total due use the amounts as calculated, with no further rounding. The term factor is rounded to 4 decimal places (R-420).

## Section 3 — Rating factors (R-100, step 2)

**Table 100-A Construction**

| Construction class | AOP factor | Hurricane factor (R-410) |
|--------------------|------------|--------------------------|
| Frame              | 1.00       | 1.00                     |
| Masonry            | 0.88       | 0.80                     |
| MasonryVeneer      | 0.94       | 0.90                     |
| FireResistive      | 0.80       | 0.70                     |

**Table 100-B Protection class**

| Protection class | Frame | All other construction |
|------------------|-------|------------------------|
| 1                | 0.85  | 0.82                   |
| 2                | 0.87  | 0.84                   |
| 3                | 0.90  | 0.86                   |
| 4                | 0.93  | 0.89                   |
| 5                | 0.97  | 0.93                   |
| 6                | 1.00  | 0.96                   |
| 7                | 1.06  | 1.01                   |
| 8                | 1.15  | 1.09                   |
| 9                | 1.40  | 1.30                   |
| 10               | 1.75  | 1.60                   |

Only the four construction classes in Table 100-A are eligible. In Table 100-B, every construction class other than Frame uses the right-hand column.

**Table 100-C Home age**

| Home age from (years) | To           | Factor |
|-----------------------|--------------|--------|
| 0                     | less than 5  | 0.90   |
| 5                     | less than 10 | 0.95   |
| 10                    | less than 20 | 1.00   |
| 20                    | less than 30 | 1.08   |
| 30                    | less than 50 | 1.15   |
| 50                    | less than 75 | 1.25   |
| 75                    | and over     | 1.35   |

**Table 100-D Roof age**

| Roof age from (years) | To           | Factor |
|-----------------------|--------------|--------|
| 0                     | less than 6  | 0.95   |
| 6                     | less than 11 | 1.00   |
| 11                    | less than 16 | 1.10   |
| 16                    | less than 21 | 1.25   |
| 21                    | and over     | 1.45   |

**Table 100-E Amount of insurance (Coverage A)**

| Coverage A from | To                    | Factor |
|-----------------|-----------------------|--------|
| \$0             | less than \$150,000   | 0.80   |
| \$150,000       | less than \$250,000   | 0.90   |
| \$250,000       | less than \$400,000   | 1.00   |
| \$400,000       | less than \$600,000   | 1.12   |
| \$600,000       | less than \$1,000,000 | 1.25   |
| \$1,000,000     | less than \$2,000,000 | 1.40   |
| \$2,000,000     | and over              | 1.55   |

**Table 100-F Claims**

| Claims in the prior 3 years | Factor |
|-----------------------------|--------|
| 0                           | 1.00   |
| 1                           | 1.10   |
| 2                           | 1.25   |
| 3 or more                   | 1.50   |
| Not reported (blank)        | 1.50   |

A claims count that is not reported is rated at the factor for 3 or more claims.

## Section 4 — Deductibles and credits

### R-205 Deductible factors

The AOP deductible factor is taken from the band that contains the policy's AOP deductible. The factor applies to the AOP premium only (R-100, step 2).

**Table 205 AOP deductible factors**

| AOP deductible from | To                 | Factor |
|---------------------|--------------------|--------|
| \$0                 | less than \$500    | 1.10   |
| \$500               | less than \$1,000  | 1.00   |
| \$1,000             | less than \$2,500  | 0.92   |
| \$2,500             | less than \$5,000  | 0.82   |
| \$5,000             | less than \$10,000 | 0.74   |
| \$10,000            | and over           | 0.66   |

### R-310 Premium credits

A policy earns each credit below whose condition it meets. Credits are added together, and the total credits **shall not exceed 25%**. The net AOP premium is the AOP premium  $\times$  (1 - total credits), rounded to the cent. Credits apply to the AOP premium only, not to the hurricane premium.

**Table 310 Premium credits**

| Credit                     | Percentage | Condition                     |
|----------------------------|------------|-------------------------------|
| Central alarm              | 5%         | The alarm indicator is Y.     |
| Claims-free                | 10%        | See R-320.                    |
| New home                   | 8%         | Home age is 5 years or less.  |
| Wind mitigation, basic     | 4%         | Wind mitigation is Basic.     |
| Wind mitigation, fortified | 10%        | Wind mitigation is Fortified. |

Any alarm indicator other than Y, including a blank, earns no alarm credit.

### R-320 Claims-free credit

The claims-free credit of 10% applies when the number of claims in the prior 3 years is zero and the home age is at least 3 years. A blank claims count counts as zero.

## Section 5 — Hurricane, term and minimum premium

### R-410 Hurricane

Hurricane premium (¢) = hurricane base rate for the territory (R-900) × Coverage A / 1,000 × construction hurricane factor (Table 100-A) × hurricane deductible factor × wind mitigation factor.

The hurricane premium is capped at **0.6% of Coverage A**: the amount used in R-100 is the lesser of the hurricane premium and 0.6% × Coverage A.

The hurricane deductible options are 2%, 5% or 10% of Coverage A. If no option is chosen, 2% applies. A percentage that is not one of these options takes factor 1.00.

Table 410-A Hurricane deductible factors

| Hurricane deductible | Factor |
|----------------------|--------|
| 2%                   | 1.00   |
| 5%                   | 0.85   |
| 10%                  | 0.72   |

Table 410-B Wind mitigation factors

| Wind mitigation      | Factor |
|----------------------|--------|
| None                 | 1.00   |
| Basic                | 0.85   |
| Fortified            | 0.65   |
| Not reported (blank) | 1.00   |

### R-420 Term and minimum premium

Policies are written for a term of 6 or 12 months. The policy expires on the same day of the month, 6 or 12 months after the effective date.

Term factor = the actual number of days from the effective date to the expiration date / 365, rounded to 4 decimal places. Term premium (¢) = subtotal × term factor.

The minimum premium of **\$350** applies after the term factor: the premium is the greater of the term premium and \$350. The result is then rounded up to the next whole dollar (R-110).

## Section 6 — Fees, tax and referral

### R-510 Fees and tax

Table 510 Policy fee

| Term      | Policy fee |
|-----------|------------|
| 6 months  | \$15       |
| 12 months | \$25       |

Assessment (¢) = 1.3% × written premium.

Premium tax (¢) = territory tax rate (R-900) × (written premium + policy fee).

Total due = written premium + policy fee + assessment + premium tax.

There are **no per-policy overrides** of tax: the premium tax is always calculated by this rule and is never entered or adjusted by hand for an individual policy.

### R-520 Referral

Refer the policy to underwriting (status REFER) when any of the following applies; otherwise the status is OK. Referral does not change the premium.

1. Coverage A is over \$1,000,000.
2. The roof age is over 20 years.
3. There are 3 or more claims in the prior 3 years.

A claims count that is not reported does not by itself cause a referral.

## Section 7 — Territories and base rates

### R-900 Territories

Only territories T01 to T08 are eligible. A risk in any other territory is not eligible and cannot be rated.

**Table 900** Base rates and premium tax by territory

| Territory | AOP base rate per \$1,000 | Hurricane base rate per \$1,000 | Premium tax rate |
|-----------|---------------------------|---------------------------------|------------------|
| T01       | 3.125                     | 0.450                           | 1.75%            |
| T02       | 3.375                     | 0.875                           | 1.75%            |
| T03       | 3.640                     | 1.250                           | 2%               |
| T04       | 2.980                     | 2.125                           | 2%               |
| T05       | 4.115                     | 3.375                           | 2.25%            |
| T06       | 3.505                     | 4.625                           | 2.25%            |
| T07       | 4.250                     | 5.875                           | 2.5%             |
| T08       | 2.875                     | 6.500                           | 2.5%             |

**Appendix A — Statistical fields (informational).** These fields are reported for statistics and do not affect the premium.

**Rate per \$1,000** = term premium (R-420, before the minimum premium) / (Coverage A / 1,000), rounded to 3 decimal places.

**Rate class** = the territory code, a hyphen, the first letter of the construction class, and the protection class as two digits (for example T03-M05).

**Edition 2026-10.** This edition replaces all earlier editions. FICTIONAL — all names, rates and rules invented for a software demonstration.